

DECISION

Subject: Sending a letter for the insurance of mortgaged property by the Hellenic Bank Public Company Ltd

I refer to the complaint submitted to my Office on November 22, 2022, by Mr. ... (hereinafter referred to as the "Complainant"), against the Hellenic Bank Public Company Ltd (hereinafter referred to as the "Bank"), regarding the above subject and all related correspondence concerning the aforementioned matter, which forms part of the case file. After examining the incident, based on the powers and authorities conferred upon me by Articles 55, 57, and 58 of Regulation (EU) 2016/679 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data (hereinafter referred to as the "Regulation"), I note the following.

Case Incidents

2.1. In the complaint dated November 22, 2022, the following claims were made:

- A. The Complainant received a letter dated November 1, 2022, regarding the renewal of insurance for his mortgaged property to secure his credit facility with No. 151-01-B88315-02 (hereinafter referred to as the "Letter").
- B. As stated by the Complainant, prior to receiving the said Letter, the Bank informed his wife by phone about a loan secured by their residence.
- C. The Complainant does not maintain a loan with the Bank, and as he states, the account referenced in the Letter has a zero balance. Consequently, the aforementioned communication created problems for him, as it appeared that there was an outstanding credit facility with the Bank.
- D. The Complainant had a loan with the Cooperative Cyprus Bank Ltd, secured by his personal residence, which was transferred to KEDIPEs.
- E. It is the Complainant's position that the Bank does not "have the right" to retain and/or use the information it holds concerning him, which it acquired after the acquisition of assets and liabilities of the former Cooperative Cyprus Bank. To substantiate the above, the Complainant attached the Letter dated 1/11/22 to his email.

2.2. My Office proceeded to notify the Bank of the receipt of the complaint, requesting its positions. According to the Bank (positions dated 12/1/23, 10/2/23):

- A. The Complainant and his wife were granted an overdraft on a joint current account by the Cooperative Cyprus Bank Ltd (hereinafter referred to as the "Cooperative Bank") to cover the issuance of guarantee letters at the request of a specific company. The said current account was secured by a mortgage and assignment of fire insurance of the mortgaged property.
- B. Following the signing of the Agreement (dated 25/6/2018) regarding the acquisition of assets and liabilities of the Cooperative Bank by the Bank, the account with its related securities was transferred to the latter.
- C. The aforementioned guarantee letter was canceled, and the overdraft on the current account expired on April 30, 2019. The current account without the overdraft remained open until December 1, 2022.
- D. According to the Bank, after the expiration of the overdraft, discussions were held with the customers for the granting of a new one, with the same securities that were not canceled.
- E. The Letter was sent because there was an assignment of fire insurance as security on the current account, which, according to the legislation, had to be maintained as long as there was a mortgage on a property. Therefore, the Letter was generated and sent automatically, as there were registered securities in the Bank's system for the Account.
- F. In the context of the aforementioned, the Letter dated 01/11/2022 was sent, and there was also a phone communication with the Complainant's wife before its receipt. When customers complained to the Bank, an employee of the Bank's branch where the Account was held contacted the customers and explained that the Letter was sent because there was an assignment of fire insurance as security on the Account (which, according to relevant legislation, had to be maintained, meaning that as long as

there was a mortgage on a property, the property had to be insured and the insurance policy assigned to the Bank). The customers requested the closure of the current account, therefore.

****1.**** The guarantees were canceled, the account was closed, and the Bank informed the customers, who appeared to be satisfied.

****Z.**** Since there were registered guarantees in the Bank's system, a Letter was automatically created and sent in compliance with Annex II, G(1)(d) of the Central Bank's Directive to Credit Institutions regarding the Procedures for Granting New and Reviewing Existing Credit Facilities from 2016 to 2022, which states that "When the credit institution receives a guarantee on real estate, then the credit institution: (d) ensures that the property is adequately insured and that the insurance policy has been assigned for the benefit of the credit institution for the purposes of the credit facility." Therefore, the legal basis for processing the customers' data for sending the Letter was the legal obligation based on the data that was registered in the Bank's systems at that time. In this context, the Bank had communicated with the spouse of the complainant, who was a co-debtor and mortgagor in the relevant credit facility.

****H.**** The legal basis for the collection and retention of the personal data of the Complainant and his spouse is the execution of a contract since the customers maintained a current account until recently. The Bank is entitled to retain customer data for a specific period even after the termination of the business relationship in accordance with its legal/regulatory obligations as well as the legitimate interests pursued by the Bank for the establishment, exercise, or defense of legal claims. According to further clarifications sent by the Bank:

****Θ.**** When an overdraft limit is canceled, according to the relevant overdraft provision agreement, the account remains as a current account (payment account without overdraft), unless the customers and/or the Bank wish to close it. Consequently, and according to the Bank's procedures, when a facility (including overdraft) is involved, the relevant arrangements for the release of the guarantees concerning it are made (A relevant excerpt of the procedure was sent). Due to ongoing discussions between the Complainant and the Bank regarding the granting of a new overdraft to his company, with the same guarantees, the guarantees were not canceled. Since there were registered guarantees in the Bank's system, each mortgaged property must be insured according to Annex II, G(1)(d) of the Central Bank's Directive to Credit Institutions regarding the Procedures for Granting New and Reviewing Existing Credit Facilities from 2016 to 2022. Therefore, as long as the mortgage remained in effect, there had to be the relevant assigned security in force.

****IA.**** According to the Bank's procedures, upon the expiration or termination of the facility and/or repayment of the debt, the guarantees are removed. In this case, this did not occur because there were discussions with the customer for additional facilities that would be covered by the same guarantees.

****IB.**** After receiving the Letter and the complaint from the Complainant to the Bank, an Officer from the branch where his account was held contacted him and explained that the Letter was sent because there was an assignment of fire insurance as his guarantee. The Complainant requested the closure of the current account. The Bank proceeded with the closure, with the cancellation of the guarantees, and informed him accordingly. The Bank stated that the Complainant appeared to be satisfied.

****2.3.**** My Office, in an email dated March 1, 2023, requested the Complainant to confirm whether he was indeed in discussions with the Bank for the granting of a new overdraft to his company with the same guarantees and whether he was indeed satisfied with the handling and outcome of his complaint by the Bank. The Complainant informed on March 10, 2023, that he had not discussed with the Bank the granting of a new overdraft and believes that the communication he had with the Bank was aimed at securing him. Specifically, he stated:

*******No, I did not request from the bank the granting of a new overdraft for my company with the same guarantees. When I made my complaint, they stopped asking me for fire insurance, something that should have been done without the complaint. The issue is that I never had fire insurance with the bank's affiliated insurance company, and certainly the reason they called was to get me insured with their insurance company. *******

****2.4.**** On April 21, 2023, the final positions of the Bank were requested. The Bank stated on May 17,

2023, the following:

****A.**** The Bank was in consultation with the Complainant and his spouse regarding the granting of a new overdraft to their company, which may likely...

was covered with the same guarantees. The request did not proceed and the application remained in the preparation stage.

a. To substantiate the above position of the Bank, a relevant Internal memo was submitted.

B. In all cases where the security assigned for the benefit of a credit facility expires, the Bank informs the parties involved that there is an option to establish security with the insurance company for which the Bank acts as an insurance intermediary. It is emphasized that in no case is the client obliged to cooperate with the insurance company proposed by the Bank, but may provide the Bank with a renewal of their insurance policy or a new contract. This is also stated/explained in the Letter dated November 1, 2022, which has been sent to the Complainant and is attached.

C. The Bank attached a relevant list of personal data being processed by the Bank regarding the guarantees and the document in which it was included (Mortgage/Fire Insurance Contract/Agreement and Declaration of Property Mortgages): name and identity number of the data subjects, address, description of the property, signature of the complainant's spouse as the mortgagor, description of the insured property, insurance policy number. As explained, from the above data, the only information not included in other documents processed by the Bank in the context of the relationship with the Complainant was the description of the property.

D. The Bank is entitled to retain customer data for a specific period even after the termination of the business relationship in accordance with its legal/regulatory obligations as well as the legitimate interests pursued by the Bank for the establishment, exercise, or defense of legal claims. A relevant reference is made in the Bank's Personal Data Statement, which is posted on its website and was attached to its response.

E. Regarding the data related to the security and mortgage, due to the fact that at that moment there were registered securities in the Bank's system (since negotiations had taken place and the security was not canceled with the repayment of the credit facility as per the Bank's procedure), a letter was automatically created and sent with the subject "Insurance of mortgage(s) for securing your credit facilities with the Hellenic Bank" to the said customer. The legal basis for this action of sending the letter was the legal obligation.

F. Regardless of the above, the Bank retains the relevant data regarding the security and mortgage of the complainant and his spouse after the repayment of the overdraft and the elimination of the mortgage, due to the fact that these customers continue to maintain a business relationship with the Bank and in accordance with its legal/regulatory obligations as well as the legitimate interests pursued by the Bank for the establishment, exercise, or defense of legal claims.

G. The Bank takes technical and organizational measures so that the processing it carries out during the granting of overdrafts and the assignment of securities is lawful. For this purpose, it issues procedures that are posted internally and of which all Bank staff are made aware.

i. The assignment of securities and the granting of overdrafts are governed by specific procedures, manuals, excerpts of which were attached to the Bank's response.

ii. It was noted that based on the Bank's procedure, customers are given the opportunity to provide instructions to the Bank through a specific form for modifications of their securities, including cancellation (the said form was attached). In the case under consideration, the customer did not request the cancellation of the security until after communicating with the Branch, whereupon the Branch immediately proceeded to close the account and cancel the securities.

H. The Bank places great importance on serving its customers, and for this reason, immediately after receiving the complaint, a staff member from the Branch contacted the customer and his spouse, explaining the reasons for sending the Letter and informing them that the process of closing the account and canceling all securities was already underway. With this action, the Bank considered that the customer was satisfied since their request was fulfilled by the Bank.

Legal Framework

Identifiable natural person

3.1. According to Article 4 of the Regulation, "personal data": any information relating to an identified or identifiable natural person is one whose identity can be ascertained, directly or indirectly, in particular by reference to an identifier such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person.

****3.1. Definitions****

"Personal data": any information relating to an identified or identifiable natural person, which is related to the physical, physiological, genetic, psychological, economic, cultural, or social identity of that natural person.

"Processing": any operation or set of operations performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure, or destruction.

"Controller": the natural or legal person, public authority, agency, or other body that, alone or jointly with others, determines the purposes and means of the processing of personal data; where the purposes and means of such processing are determined by Union law or the law of a Member State, the controller or the specific criteria for its designation may be provided for by Union law or the law of a Member State.

****3.2. According to Article 5 of the Regulation:****

Personal data:

a) shall be processed lawfully and fairly in a transparent manner in relation to the data subject ("lawfulness, fairness, and transparency"),

b) are collected for specified, legitimate purposes and shall not be further processed in a manner that is incompatible with those purposes; further processing for archiving purposes in the public interest or for scientific or historical research purposes or for statistical purposes shall not be considered incompatible with the initial purposes according to Article 89 paragraph 1 ("purpose limitation"),

c) are adequate, relevant, and limited to what is necessary for the purposes for which they are processed ("data minimization"),

d) are accurate and, where necessary, kept up to date; every reasonable step must be taken to ensure that personal data that are inaccurate, with respect to the purposes of processing, are erased or rectified without delay ("accuracy"),

e) are kept in a form which permits identification of data subjects for no longer than is necessary for the purposes for which the personal data are processed; personal data may be stored for longer periods, provided that the personal data will be processed solely for archiving purposes in the public interest, for scientific or historical research purposes, or for statistical purposes, in accordance with Article 89 paragraph 1 and provided that appropriate technical and organizational measures are applied as required by this Regulation to safeguard the rights and freedoms of the data subject ("storage limitation"),

f) are processed in a manner that ensures appropriate security of the personal data, including protection against unauthorized or unlawful processing and against accidental loss, destruction, or damage, using appropriate technical or organizational measures ("integrity and confidentiality").

2. The controller shall be responsible for, and be able to demonstrate compliance with, paragraph 1 ("accountability").

****3.3. According to Article 58 of the Regulation:****

1. Each supervisory authority shall have all of the following investigative powers:

a) to order the controller and the processor, and where applicable, the representative of the controller or the processor, to provide any information it requires for the performance of its tasks,

b) to conduct investigations in the form of audits,

c) to carry out reviews of certifications issued pursuant to Article 42 paragraph 7,

d) to notify the controller or the processor of an alleged infringement of this Regulation,

e) to obtain from the controller and the processor access to all personal data and all information

necessary for the performance of its tasks,

f) to have access to the premises of the controller and the processor, including any equipment and means used for processing personal data, in accordance with Union or Member State procedural law.

2. Each supervisory authority shall have all of the following corrective powers:

- a) to issue warnings to the controller or the processor that intended processing operations are likely to infringe provisions of this Regulation,
- b) to issue reprimands to the controller or the processor when processing operations have infringed provisions of this Regulation,
- c) to order the controller or the processor to comply with the requests of the data subject to exercise their rights under this Regulation,
- d) to instruct the data controller or the processor to ensure that the processing operations comply with the provisions of this regulation, if necessary, in a specific manner and within a specified deadline,
- e) to instruct the data controller to notify the data subject of the personal data breach,
- f) to impose a temporary or permanent restriction, including a prohibition on processing,
- g) to issue an instruction for the correction or deletion of personal data or restriction of processing pursuant to Articles 16, 17, and 18 and an instruction to notify the recipients to whom the personal data were disclosed pursuant to Article 17 paragraph 2 and Article 19,
- h) to withdraw the certification or to order the certification body to withdraw a certificate issued in accordance with Articles 42 and 43 or to order the certification body not to issue certification, provided that the certification requirements are not met or are no longer met,
- i) to impose an administrative fine pursuant to Article 83, in addition to or instead of the measures referred to in this paragraph, depending on the circumstances of each individual case,
- j) to instruct the suspension of the transfer of data to a recipient in a third country or to an international organization.

3.4. Pursuant to Article 83 of the Regulation,

“1. Each supervisory authority ensures that the imposition of administrative fines pursuant to this article for violations of this regulation referred to in paragraphs 4, 5, and 6 is effective, proportionate, and dissuasive for each individual case.

2. Administrative fines, depending on the circumstances of each individual case, are imposed in addition to or instead of the measures referred to in Article 58 paragraph 2 points a) to h) and in Article 58 paragraph 2 point i). In deciding on the imposition of an administrative fine, as well as on the amount of the administrative fine for each individual case, the following shall be duly taken into account:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the relevant processing, as well as the number of data subjects affected by the infringement and the degree of damage suffered,
- b) the intent or negligence that caused the infringement,
- c) any actions taken by the data controller or the processor to mitigate the damage suffered by the data subjects,
- d) the degree of responsibility of the data controller or the processor, taking into account the technical and organizational measures they have implemented pursuant to Articles 25 and 32,
- e) any relevant previous infringements by the data controller or the processor,
- f) the degree of cooperation with the supervisory authority for the remedying of the infringement and the limitation of its potential adverse effects,
- g) the categories of personal data affected by the infringement,
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether and to what extent the data controller or the processor notified the infringement,
- i) where measures referred to in Article 58 paragraph 2 were previously ordered against the involved data controller or processor regarding the same subject matter, compliance with those measures,
- j) adherence to approved codes of conduct in accordance with Article 40 or approved certification mechanisms in accordance with Article 42 and
- k) any other aggravating or mitigating factor arising from the circumstances of the particular case, such

as the financial benefits gained or losses avoided, directly or indirectly, from the infringement.

3. In the event that the data controller or the processor, for the same or for connected processing operations, violates several provisions of this regulation, the total amount of the administrative fine shall not exceed the amount specified for the most serious infringement.”

Reasoning

4. According to the definitions in Article 4 of the Regulation, the information maintained and used by the Bank regarding the Complainant and his spouse (name, identification number, address, etc.) constitutes their personal data, making them data subjects. The use of this data constitutes a processing operation according to the interpretation given to the relevant term by the provisions of Article 4(2) of the Regulation. The Bank constitutes, for all purposes of the Regulation, the data controller, which determines the purpose, means, and manner of the relevant personal data processing, with its powers, responsibilities, and duties.

5. According to Article 5 of the Regulation, any processing of personal data must be lawful, fair, and conducted transparently towards the data subjects. The data being processed must be adequate, relevant, limited to what is necessary for the purposes for which they are processed, accurate, and kept up to date when necessary. Each data controller bears the responsibility and must be able to demonstrate compliance with the Regulation.

6. I emphasize that the investigation of my Office and this Decision is limited to examining the data processing carried out by the Bank and whether it was in accordance with the provisions of the Regulation. Further investigation into the reasons why the Bank maintained the collateral for the overdraft while it had been terminated does not fall within my jurisdiction. Therefore, for this investigation, I rely on the positions of the Bank, as the data controller. As the Bank has stated, in cases of cancellation/settlement/expiration/termination of an overdraft limit, the accounts remain as current accounts unless the customers and/or the Bank wish to close them. Consequently, according to the Bank's procedures, when a facility (including an overdraft) is canceled/settled/expired/terminated, the relevant arrangements for the release of the collateral concerning it are made.

7. In the incident under investigation, despite the relevant procedures of the Bank and the termination of the overdraft (April 2019), the relevant collateral was not released, as the Bank claimed that discussions were ongoing with the Complainant regarding the granting of a new overdraft with the same collateral. According to the internal memo submitted before me, the discussions were taking place around April 2020. Since then, the relevant collateral has been maintained, resulting in the sending of the Letter in November 2022, which was also the reason for the submission of the complaint to my Office. The time that elapsed and the lack of confirmation of the Bank's positions regarding the existence of discussions by the Complainant indicate that the processing of data for the purposes of legality, objectivity, and transparency, as well as the principle of accuracy as defined in Article 5 of the Regulation, was not upheld.

8. It is fully understood that the initial collection of the Complainant's and his wife's data was based on the execution of the contract for collateral that was not governed by the principle. It is also understood that the Bank is entitled to retain its customers' data for a specific period even after the termination of their business relationship, in accordance with its legal/regulatory obligations as well as the legitimate interests it seeks to establish, exercise, or defend legal claims. In the case under examination, the retention of the collateral and the processing of data for the purposes of maintaining it do not fall within these cases.

9. The automated sending of the Letter received by the Complainant and the phone notification to his wife were the consequences of the retention of the collateral related to the overdraft. I take into account that, since there was relevant collateral for the property, which was not renewed, the Complainant and his wife needed to be informed. However, the content of the Letter, which informed the data subjects about the expiration of the collateral for their mortgaged property, which was stated to exist as collateral for the overdraft of their joint current account, confirms in my opinion the erroneous handling by the Bank and the violations of the principles of Article 5 of the Regulation that I

have identified above, since the overdraft account had already been terminated for at least two years.

10. An important factor that I consider in my Conclusion is the type of data related to the incident and the fact that the majority of this data is also included in other documents that are processed by the Bank, within the framework of the relationship it maintains with the Complainant and his wife.

11. Ultimately, and regardless of any mitigating factor, I emphasize that in any use of them, the data must be subject to lawful and fair processing in a transparent manner towards the data subjects, meaning that the data subjects must receive clear, complete, and in plain language information to ensure fair and transparent processing. At the same time, the data being processed must be accurate and, when necessary, updated.

Conclusion

12.1. Based on the above findings and under the powers conferred upon me by Articles 58 and 83 of Regulation (EU) 2016/679, I find a violation of Article 5 of the Regulation.

12.2. Based on the provisions of Article 83 of the Regulation, to the extent applicable in the specific case, I take into account the following mitigating (1)-(7) and aggravating (8)-(9) factors:

- (1) the small number of data subjects,
- (2) the non-inclusion of a special category of personal data in the incident,
- (3) the fact that the majority of the data processed for the purpose of maintaining the guarantees is also included in other documents that are processed by the Bank,
- (4) the immediate corrective actions taken by the Bank,
- (5) the full cooperation of the Bank with my Office and the submission of the information with full transparency,
- (6) the singularity of the incident,
- (7) the prior implementation of measures and procedures by the Bank,
- (8) the processing of data due to the maintenance of the guarantees while the overdraft account had been terminated,
- (9) the opaque, vague, and incomplete information provided to the data subjects.

12.3. After taking into account and considering -

- (a) the current legislative basis regarding the corrective powers conferred upon me by Article 58(2) of the Regulation,
- (b) the circumstances and factors presented by the Bank before me based on all existing correspondence,
- (c) the above mitigating and aggravating factors.

I have decided, in my judgment and in accordance with the above provisions, to issue a Reprimand to the Hellenic Bank Public Company Ltd for the violation of Article 5 of Regulation (EU) 2016/679.

Peace Loizidou Nicolaidou

Nicosia, April 26, 2024

Commissioner for the Protection of Personal Data